CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EB5F87B1E
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

From: Sara Shackleton <sara.shackleton@enron.com>
Sent: Thu, 11 Jan 2001 08:20:00 -0800 (PST)
To: Jane McBride <jane.mcbride@enron.com>, Carol St Clair <carol.clair@enron.com>
Subject: Re: IBJ ISDA MASTER AGREEMENT - 1. Credit matrix and 2. Threshold amount

Jane:

Happy New Year back! Hope you are looking forward to a great 2001.

After re-reading the string of emails, I am pleased to tell you that real help has arrived. We have just added three new lawyers to our group and Carol St. Clair has just returned from maternity leave. Carol will handle the credit insertion to the ISDA Schedule and you can correspond with her directly. Also, please let Carol have the info on our local counsel so that one of you can obtain a quick review of the credit portion. Thanks for being so patient.

Regards. Sara

Sara Shackleton
Enron North America Corp.
1400 Smith Street, EB 3801a
Houston, Texas 77002
713-853-5620 (phone)
713-646-3490 (fax)
sara.shackleton@enron.com

Jane McBride@ENRON
01/11/2001 05:31 AM

To: Sara Shackleton/HOU/ECT@ECT
cc: John Suttle/HOU/ECT@ECT

[REDACTED] B5
amount

Hi Sara,

Happy New Year and I hope you had a good holiday.

The business people are really bugging me about this because it is holding up proceeding with our other ISDAs. Would you mind dealing with this ASAP and

CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EB5F87B1E
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
ENRON-965196647260

CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EB5F87B1E
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

letting me know when you think you will be able to get the drafting done.

Thanks very much and sorry to be bugging you.

Jane

Sara Shackleton@ECT
2000/11/28 03:39

To: Jane McBride/AP/Enron@ENRON
cc: John Suttle/HOU/ECT@ECT
Subject: Re: IBJ ISDA MASTER AGREEMENT - 1. Credit matrix and 2. Threshold amount

Jane: Sorry for the delay. I'm preparing a "cash only, two-way" section for the ISDA. I will try to get it to you this week. Sara

Jane McBride@ENRON
11/27/2000 03:54 AM

To: Sara Shackleton/HOU/ECT@ECT
cc:
Subject: Re: IBJ ISDA MASTER AGREEMENT - 1. Credit matrix and 2. Threshold amount

Hi Sara,

How are you going - did you have a good Thanksgiving? Coincidentally Thursday was also a holiday here - we were celebrating Respect for the Aged Day though.

Actually, Sara, I was wondering how we are going in getting some drafting together for the credit provisions discussed recently with John Suttle and Jonathan Whitehead.

Thanks and sorry for the trouble.

CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EB5F87B1E
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
ENRON-965196647260

CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EB5F87B1E
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

Jane

Sara Shackleton@ECT
11/09/2000 12:48 AM

To: Jane McBride/AP/Enron@ENRON
cc: John Suttle/HOU/ECT@ECT, Alan Aronowitz/HOU/ECT@ECT, Mark Taylor/HOU/ECT@ECT, John Viverito/Corp/Enron@Enron, Jonathan Whitehead/AP/Enron@Enron
Subject: Re: IBJ ISDA MASTER AGREEMENT - 1. Credit matrix and 2. Threshold amount

Jane:

If you have time in the morning (Nov. 9 Tokyo), I would like to discuss ENA's view of the CSA/Schedule relationship. In a nutshell, we provide that a ratings downgrade is an Additional Event of Default in the Schedule (normally a MAC in the CSA). John's preferance, of course, would be a unilateral event triggering an IBJ default (which I am sure would be difficult to negotiate).

I am not certain of the time difference but perhaps you could call me at the office after 4 pm (Nov.8 in Houston) and I could then conference in John. Alternatively, please feel free to contact me at home (after 7 pm Houston time on Nov. 8) at 713-664-3207.

I look forward to hearing from you. Regards. Sara

Jane McBride@ENRON
11/07/2000 04:03 AM

To: John Suttle/HOU/ECT@ECT, Alan Aronowitz/HOU/ECT@ECT
cc: John Viverito/Corp/Enron@Enron, Jonathan Whitehead/AP/Enron@Enron, Mark Taylor/HOU/ECT@ECT, Sara Shackleton/HOU/ECT@ECT
Subject: IBJ ISDA MASTER AGREEMENT - 1. Credit matrix and 2. Threshold amount

CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EB5F87B1E
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
ENRON-965196647260

CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EB5F87B1E
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

Dear John,

Jonathan and I met with IBJ today to try and push our negotiations through to the end. They are still unwilling to do a CSA with us but very significantly their back / mid office is currently looking at getting systems support in place which would permit them to do a CSA with us in due course. They acknowledged to us of their own volition that the market trend is towards CSAs even in transactions where the counter party is not a bank. They did say though that it would be a few months before they would be set up to do so. Pls note that they did not agree to do a CSA with us as soon as they are set up to do so but they now know we will come knocking at some stage to ask them to do it so I think we have gone as far as we can on this for now.

We will therefore move forward on the credit matrix in the meantime, if you are still willing to do so. The bank has a credit rating of A, so I guess this means US$15 million credit limit.

On the assumption that it is possible to draft these terms into a contract without a full CSA, I wonder who is best to do this drafting. I should be able to do the negotiations but I am not sure that I am able to do the drafting .... Alan, do you have any suggestions?

Most of the other issues are sorted now but they still want to change the "Threshold Amount" definition to US$10 million. Is there any flexibility on this?

Thanks.

Jane McBride

John Suttle@ECT
09/27/2000 12:39 AM

To: Jonathan Whitehead/AP/Enron@ENRON
cc: Jane McBride/AP/Enron@Enron, John Viverito/Corp/Enron@Enron, Kevin Cordesman/HOU/ECT@ECT, Mark Taylor/HOU/ECT@ECT, Morten E Pettersen/AP/Enron@Enron, Steven Kleege/HOU/ECT@ECT, Tom Bruce-Jones/LON/ECT@ECT
Subject: Re: Fw: IBJ ISDA MASTER AGREEMENT

CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EB5F87B1E
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
ENRON-965196647260

CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EB5F87B1E
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

Jonathan,

One thing we might be able to propose is a "Credit Matrix" which prescribes a Credit Line under which each counterparty can transact - with collateral rights and collateral thresholds tied to the credit rating of each counterparty. We have used credit matrixes in several contracts here and they are appealing in that there are no Material Adverse Change (MAC) clauses. This is appealing to the counterparty in that we cannot automatically drop their collateral threshold to zero when a MAC occurs. We are comfortable because as the counterparty's credit quality deteriorates, the amount of exposure to which we are subject decreases. I would propose to

CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EB5F87B1E
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
ENRON-965196647260